

Lender and Rating Agency Update, September 2026

Lender and rating agency update, September 24, 2026. Sedgewater Energy Holdings: business profile, growth, capital plan, cost recovery and recent events. Presented by the Chief Financial Officer.

Business profile

Privately owned by long-term infrastructure investors. Two regulated utilities: an ERCOT transmission and distribution service provider and a gas distribution utility. 2025 revenue: \$936 million electric and \$358 million gas (about \$142 million gas cost pass-through).

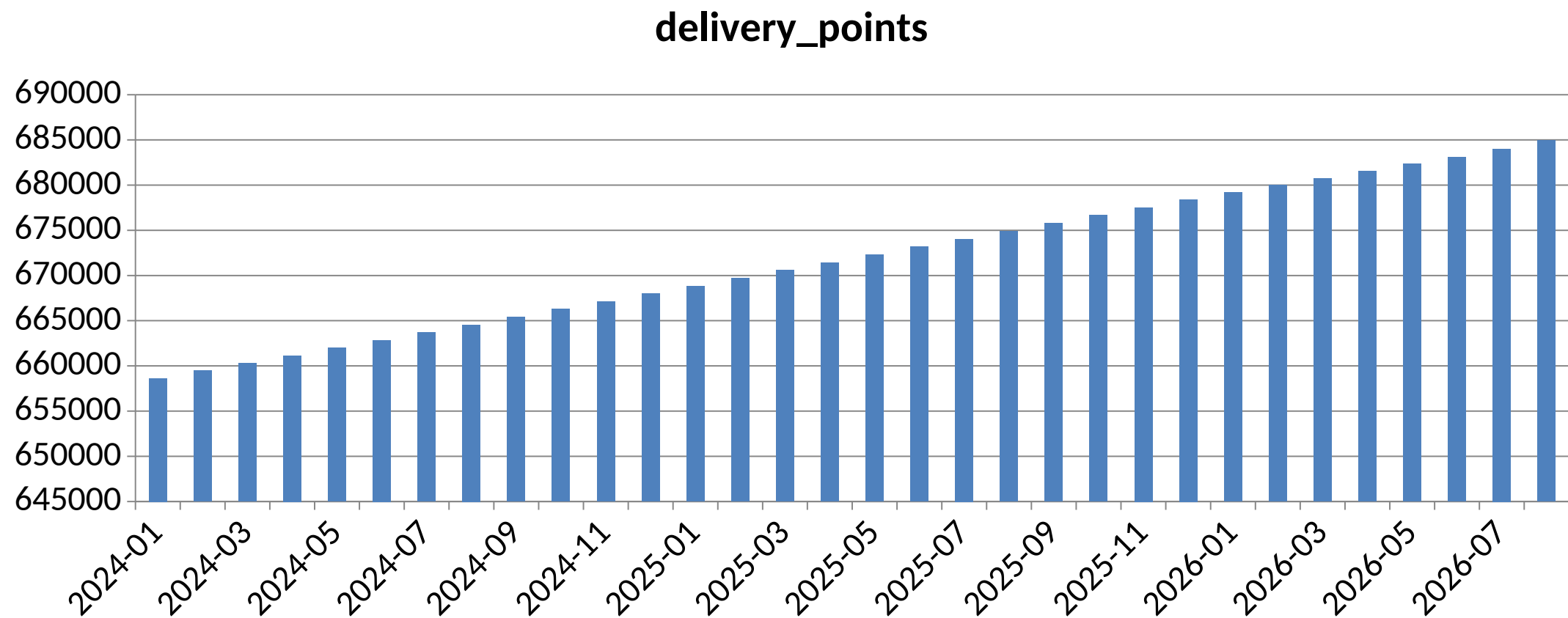
Rate base and credit

Rate base at December 31, 2025: about \$4.62 billion electric and \$1.18 billion gas. Last electric order (March 2022): 9.60% ROE, 42.5% equity ratio. Sedgewater Electric Delivery senior secured debt rated A- and A3; both outlooks stable.

Customer growth

Delivery points up 1.5% from August 2025 to August 2026: 13,152 new service points in 2025 and 8,337 in January-August 2026.

Customer growth • delivery points



Large-load demand

11 large-load requests of 20 MW or more totaling 1,905 MW at August 31 (10 active, 1,785 MW). In June 2026 the PUCT approved ERCOT's batch study process for large-load requests.

Capital outlook 2026-2030: about \$6.10 billion

\$1.12B in 2026, \$1.18B in 2027, \$1.24B in 2028, \$1.26B in 2029 and \$1.30B in 2030. About 83% electric and 14% gas; the rest shared IT and facilities.

Timely recovery

Electric: base rates plus DCRF and TCOS updates; DCRF no more than twice a year. 2026: DCRF filed April 6 (\$41.8M, effective July), second planned September 28 (about \$23M); TCOS updates February 27 and August 28. Gas: interim adjustment filed March 27 (\$11.2M on \$86.4M of 2025 capital).

Resiliency and reliability

2026-2028 Resiliency Plan approved October 2025: nine measures, about \$612M capital and \$41M O&M. 2025 SAIDI 118.0 minutes and SAIFI 1.210, excluding major events.

May 2026 storm

Restoration cost estimated at \$38.4M (\$24.3M O&M deferred as a regulatory asset; \$14.1M capital). Below the \$50M securitization threshold in effect since September 2025, so recovery is expected through rates.

Next electric rate case

Sedgewater is evaluating the timing of its next electric base rate case; no filing date has been announced.